substantial sum, even with a negative net worth, because of the company's insurance franchise. Still, in 1976, the company, since it had no earnings, defied a mathematical determination of value as put forth by John Burr Williams, who defined present value as future cash flows discounted at an appropriate rate. Still, despite the uncertainty over GEICO's future cash flows, Buffett was sure that the company would survive and earn money in the future. How much and when were open to debate.

In 1980, Berkshire owned one-third of GEICO, invested at a cost of $47 million. That year, GEICO's total market value was $296 million. Even then, Buffett estimated that the company possessed a significant margin of safety. In 1980, the company earned $60 million on $705 million in revenues. Berkshire's share of GEICO's earnings was $20 million. According to Buffett, "to buy a similar $20 million of earnings in a business with first-class economic characteristics and bright prospects would cost a minimum of $200 million"—more if the purchase was for a controlling interest in the company.[13]

Even so, Buffett's $200 million assumption is realistic, given the Williams valuation theory. Assuming that GEICO could sustain this $60 million in earnings without the aid of any additional capital, the present value of GEICO, discounted by the then-current 12 percent rate for a 30-year U.S. government bond, would have been $500 million—almost twice GEICO's 1980 market value. If the company could grow this earnings power at 2 percent real, or at 15 percent before current inflation, the present value would increase to $600 million, and Berkshire's share would equal $200 million. In other words, in 1980, the market value of GEICO's stock was less than half the discounted present value of its earnings power.

Tenet: The One-Dollar Premise

Between 1980 and 1992, the market value of GEICO grew from $296 million to $4.6 billion—an increase of $4.3 billion. During these 13 years, GEICO earned $1.7 billion. It paid shareholders, in common stock dividends, $280 million and retained $1.4 billion for reinvestment. Thus, for every dollar retained, GEICO created $3.12 in market value for its shareholders. This financial accomplishment demonstrates not only